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2017 Annual Oilseeds and Products Report.

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Oilseeds and Products

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Report Highlights:

It is estimated that in MY 2017/2018 (July-June) rapeseed planted will amount to 920,000 hectares, an eleven percent increase in comparison to the previous year due to good prices for rapeseed on the domestic market and favorable weather conditions during planting season in the fall of 2016. Poland's total production of rapeseed in MY 2017/18 is forecast to increase by 18 percent to 2.65 million MT in comparison to MY 2016/2017. Increased production stems from higher acreage and expected increase of yields in comparison to MY2016/2017. Please note that the sudden drop of temperatures and lack of snow cover in January 2017 resulted in some damage of winter rapeseed plantations but the evaluation of the level of losses will be available in mid-April when the spring vegetation will appear.

General Information:

Production

MY 2016/2017

It is estimated by FAS Warsaw that MY 2016/2017 (July-June) production of rapeseed in Poland amounted to 2.25 million MT, a 17 percent decrease in comparison to the MY 2015/2016 level. In MY 2016/2017 rapeseed planted area amounted to 830,000 hectares and was 12 percent lower than in the MY 2015/2016. Sudden frost in December 2015 and lack of snow cover caused significant losses in winter rapeseed plantations and many fields had to be plowed under in spring 2016. In addition implementation of the EU regulation of 2013 restricting the use of neonicotinoids in rapeseed planting created less favorable conditions for rapeseed development. It is estimated that in MY2016/2017 the average yield of rapeseed amounted to 2.71 MT per hectare compared to 2.85 MT in MY 2015/2016. The lack of moisture in many areas of Poland affected rapeseed plantations and resulted in smaller size of seeds and not well-filled pods.

Rapeseed cultivation is concentrated in nine provinces located in the northern, western and southern parts of Poland. The majority of rapeseed production in Poland is carried out in Dolnośląskie, Kujawsko-Pomorskie, Lubelskie, Mazowieckie, Opolskie, Pomorskie, Warmińsko-Mazurskie, Wielkopolskie and Zachodniopomorskie provinces which have the most favorable climates and soil conditions for rapeseed cultivation. Poland is one of the leading producers of rapeseed in the EU, following Germany, France and the U.K. In Poland rapeseed acreage constitutes 95 percent of total oilseed plantings.

MY 2017/2018

In MY2017/2018 higher yields and larger acreage are expected to result in a bigger crop. It is estimated that area planted for rapeseed in MY 2017/2018 will amount to 920,000 hectares, an eleven percent increase in comparison to the previous year. It is forecast that acreage of spring rapeseed in MY 2017/2018 will amount to 80,000 hectares. Poland's total production of rapeseed in MY 2017/18 is forecast to increase by 18 percent in comparison to MY 2016/2017 and amount to 2.65 million MT. Damage caused by low temperatures and lack of snow cover in January 2017 had detrimental effect on some rapeseed plantations, however, according to the Polish Association of Rapeseed Producers, first estimates of the condition of rapeseed plantations will be available in mid-March 2017. Until the end of February 2017 there was no official information published by the Main Statistical Office or by the Ministry of Agriculture assessing the condition of rapeseed plantings after winter 2016/2017. The fast development of rapeseed acreage has slowed down in Poland, mostly due to uncertainty connected with changes in EU biofuel policy. However, better profitability of rapeseed production in the last year made some farmers change their sowing preferences. According to the Polish Association of Rapeseed Producers, farmers decide to plant rapeseed when the price relation between rapeseed and wheat is greater than 2 to 1. In the fall of 2016 this relation amounted to 2.8 to 1 and many farmers decided to plant rapeseed instead of wheat.

Production, cultivated area and yield of rapeseed

Marketing year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	MY 2017/2018*
Cultivated area (000 hectares)	930	951	947	830	920
Yield (MT/hectare)	3.19	3.44	2.85	2.71	2.88
Crop (000 MT)	2,970	3,276	2,701	2,250	2,650

Source: Main Statistical Office

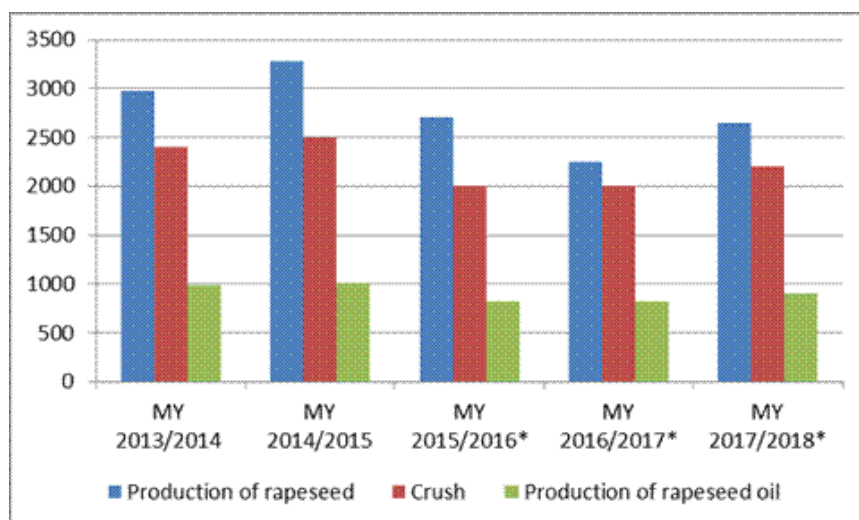
*FAS Warsaw estimate

Utilization

Rapeseed oil

It is estimated that in MY 2016/2017 rapeseed crush will amount to 2 million MT and will remain at the previous year's level. Rapeseed crush is determined by demand for oil for food consumption and the use of rapeseed oil for production of biodiesel, the primary biofuel produced in Poland. Production and consumption of rapeseed oil for food consumption remains almost constant while demand for rapeseed oil for biofuel production is growing in reference to the increasing Poland's National Indicative Target (NIT) for biodiesel use. For several years food rapeseed oil consumption has not exceed 0.4 million MT. In MY 2016/2017 industrial use of rapeseed oil for biodiesel is expected to remain at the previous year's level due to the stable level of the NIT (7.0 percent) for conventional (first generation) biofuels and the moderate level of prices of conventional fuels. In MY 2017/2018 rapeseed oil output is expected to increase by one percent because of higher production of rapeseed compared to the previous year.

Production of rapeseed, crush and output of rapeseed oil (000 MT)



Source: Main Statistical Office

*FAS Warsaw estimate.

In the last quarter of CY 2016 the average industrial rapeseed purchase price is estimated at PLN 1,576/MT (U.S. \$395), a 7 percent increase compared to the same period of CY 2015.

Rapeseed and soybean meal

In MY 2016/2017 output of rapeseed meal (a residual product in production of rapeseed oil) is estimated at 1.2 million MT, no change in comparison to MY 2015/2016. Feed use of rapeseed meal on MY 2016/2017 is estimated to remain at the low level of the previous year, because of a significant decrease of swine inventories which are the main consumer of this feed. It is expected that higher use of protein feeds by the poultry industry, which production increased by 15 percent in 2016 and is projected to further grow in the first half of 2017, will be partly offset by lower demand for rapeseed meal in swine nutrition due to the 10 percent reduction in the national herd in 2016.

Soybean meal is the primary protein feed used in livestock nutrition. Acreage of domestic production of soybeans amounts to 12,000 hectares, so almost the entire demand for soybean meal has to be supplied by imports. The share of soybean meal in total use of protein feeds accounts for 61 percent, followed by rapeseed meal at 15 percent, sunflower meal at 10 percent, legumes at 13 percent and others at 1 percent. It is estimated that in MY 2016/2017 the demand for soybean meal will stabilize due to outbreaks of HPAI in Poland which are expected to slow growth of poultry industry in 2017.

Trade

Rapeseed

In MY 2015/2016 Poland exported 881,000 MT of rapeseed. All exports were destined for the European Union, with Germany as the main export destination. During the harvest German trucks often come directly to the fields of northern or western Poland and load rapeseed directly from combines. For producers from northern and eastern Poland transportation costs are lower when they sell rapeseed to the crushing plant in Rostock, Germany, instead of crushing plants in Poland. It is expected that in MY 2016/2017 exports of rapeseed seed will significantly decrease in comparison to the previous year because of lower domestic production. In the first five months of the MY 2016/2017 (July-November) Poland exported only 144,000 MT of rapeseed, 81 percent less than in the same period of 2015.

Exports of rapeseed (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016*	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	728	917	881	580	144	-81
Germany	559	686	637	180	136	-74
Belgium	71	110	146	30	0	-
Czech Republic	19	19	59	20	7	-83

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Poland imported 239,000 MT of rapeseed mainly from Ukraine, Germany, Czech Republic and Hungary. In MY 2016/17 rapeseed imports are expected to increase in comparison to MY 2015/16 because of continuing demand from biofuels industry. Total imports are forecast at 400,000 MT. The biggest share of imports comes from the Ukraine because of competitive prices. In the first five months of the MY 2016/2017 (July-November) Poland imported 372,000 MT of rapeseed, 276 percent more than in the same period of 2015 mainly because of higher imports from Ukraine.

Imports of rapeseed (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016*	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	191	229	239	400	372	276
Ukraine	120	90	71	200	160	134
Czech Republic	9	51	42	60	48	679
Slovakia	30	36	23	30	33	317
Germany	4	15	50	20	14	364
Hungary	1	2	26	60	48	6782

Source: GTA

*FAS Warsaw estimate.

Rapeseed oil

In MY 2015/2016 Poland exported 522,000 MT of rapeseed oil. All exports were destined for the European Union. The Czech Republic was the main export destination for exports of rapeseed oil. In the first five months of the MY 2016/2017 (July-November) Poland exported 143,000 MT of rapeseed, 22 percent less than in the same period of 2015.

Exports of rapeseed oil (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016*	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	494	541	522	420	143	-22
Czech Republic	180	228	312	320	79	20

Slovakia	111	117	95	60	25	-33
Germany	145	133	47	20	22	-61

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Poland imported 152,000 MT of rapeseed oil mainly from Germany and Czech Republic. In MY 2016/17 rapeseed oil imports are expected to decrease in comparison to MY 2015/16. Total imports are forecast at 140,000 MT. The biggest share of imports comes from Germany and Czech Republic because of proximity of the market. In the first five months of the MY 2016/2017 (July-November) Poland imported 58,000 MT of rapeseed oil, 8 percent less than in the same period in 2015.

Imports of rapeseed oil (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016*	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	121	124	152	140	58	-8
Czech Republic	59	39	21	22	14	4
Germany	29	20	41	45	9	9
Ukraine	6	10	21	20	19	52

Source: GTA

*FAS Warsaw estimate.

Protein meals

Rapeseed meal

In MY 2015/2016 Poland exported 638,000 MT of rapeseed meal, nine percent less than in the previous year. All exports were destined for the European Union. Rapeseed meal is in demand in Europe because it is partially used as a protein source in swine and cattle feeding rations. Germany is the main export destination for exports of rapeseed meal followed by Spain. In the first five months of the MY 2016/2017 (July-November) Poland exported 371,000 MT of rapeseed, 10 percent more than in the same period of 2015 due to increased demand from the Netherlands and Denmark.

Exports of rapeseed meal (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015
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						(%)
Total	710	703	638	660	371	10
Germany	149	198	206	150	84	-31
Spain	160	189	122	125	76	1
Sweden	42	72	47	30	24	-27
France	36	48	67	45	25	-35
Denmark	63	55	68	100	36	65

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Poland imported 49,000 MT of rapeseed meal mainly from Ukraine and Germany.

In MY 2016/17 rapeseed meal imports are expected to decline in comparison to MY 2015/16 because of lower demand for feed because of the swine herd reduction. Total imports are forecast at 40,000 MT.

In the first five months of the MY 2016/2017 (July-November) Poland imported 16,000 MT of rapeseed meal, 36 percent less than in the same period of the same period of 2015 mainly because of reduced imports from Ukraine and Germany.

Imports of rapeseed meal (000 MT)

Marketing Year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	61	58	49	40	16	-36
Germany	22	15	16	10	2	-66
Ukraine	15	25	27	20	12	-28
Belarus	6	9	1	0	0	-100

Source: GTA; *FAS Warsaw estimate.

Soybean meal

In MY 2015/2016 Poland imported 2,137,000 MT of soybean meal, 5 percent less than in the previous year because of reduced demand from swine sector. The value of imports of soybean meal was over U.S. \$0.8 billion. Over 60 percent of imports originated from South America. Soybean meal remains in demand because it is a major protein source of protein in poultry feeding rations. It is expected that in MY 2016/2017 imports of soybean meal will remain at the previous year's level because increased demand of poultry production will be offset by reduced use in swine feeding.

Volume of imports of soybean meal (000 MT)

MY starts in October	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*
Total	1,848	2,254	2,137	2,150

Argentina	1,091	1,241	1,403	1,400
Paraguay	171	326	422	500
Russia	159	182	123	80
Germany	101	250	35	10
United States	100	128	33	35
Brazil	76	60	0	45
United Kingdom	0	18	20	15
Ukraine	5	9	22	10
Denmark	8	25	1	1
Netherlands	95	9	26	20

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 imports of soybean meal from the U.S. amounted to 32,795 MT and were 75 percent lower than a year ago. The value of imports from the U.S. was 82 percent lower than a year ago and amounted to U.S. \$10 million. It is expected that in MY 2016/2017 imports from the U.S. will remain at a low level because of strong competition from South American suppliers.

Value of imports of soybean meal (000 MT)

MY starts in October	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*
World	1,059	999	813	820
Argentina	587	566	510	510
Paraguay	114	140	175	200
Russia	94	83	46	30
Germany	63	100	13	4
United States	57	60	10	11
Brazil	45	26	0	20
United Kingdom	9	0	10	6
Denmark	5	11	1	1
Ukraine	2	3	6	3
Netherlands	56	3	21	18

Source: GTA

*FAS Warsaw estimate.

End of Report